Morrill County Community Hospital
Statement of Net Position
June 30, 2025

	2025
Assets	
Current Assets	
Short-term investments	$ 900,261
Receivables	
Patient, net of estimated uncollectibles of $1,736,518 in 2025	3,395,262
Employee, net	45,000
Inventories	715,363
Prepaid expenses	281,753
Estimated third-party payor settlements - Medicare and Medicaid	2,153,622
Total current assets	7,491,261
Noncurrent Cash and Investments	
Assets limited as to use or restricted	673,440
Capital Assets	
Capital assets not being depreciated	101,447
Capital assets being depreciated, net	8,331,979
Right to use leased assets, net	745,396
Right to use subscription IT assets, net	88,655
Total capital assets	9,267,477
Other Assets	
Employee receivables, net	65,961
Other assets	33,057
Total other assets	99,018
Total assets	$ 17,531,196
Liabilities and Net Position	
Current Liabilities	
Bank overdraft	$ 60,261
Current maturities of long-term debt	345,216
Current maturities of lease liabilities	220,460
Current maturities of subscription IT liabilities	35,687
Accounts payable - trade	1,125,969
Accrued salaries, compensated absences and benefits payable	2,029,912
Total current liabilities	3,817,505
Long-Term Debt, Less Current Maturities	3,401,030
Long-Term Lease Liabilities, Less Current Maturities	492,873
Long-Term Subscription IT Liabilities, Less Current Maturites	37,121
Long-Term Compensated Absences, Less Current Obligation	541,704
Total liabilities	8,290,233
Net Position	
Net investment in capital assets	4,735,090
Unrestricted	4,505,873
Total net position	9,240,963
Total liabilities and net position	$ 17,531,196

See Notes to Financial Statements

Morrill County Community Hospital
Statement of Revenue, Expenses and Changes in Net Position
Year Ended June 30, 2025

	2025
Operating Revenue	
Net patient service revenue, net of provision for bad debts of $882,937 in 2025	$ 31,463,956
Other operating revenue	197,700
Total operating revenue	31,661,656
Operating Expenses	
Salaries	15,971,116
Employee benefits	4,587,949
Professional and purchased services	2,195,846
Repairs and maintenance	1,422,098
Supplies	4,935,420
Other	713,056
Utilities	262,434
Depreciation and amortization	1,527,082
Insurance	376,676
Total operating expenses	31,991,677
Operating Loss	(330,021)
Nonoperating Revenue (Expense)	
Noncapital grants and contributions	62,982
Investment income	50,934
Interest expense	(109,719)
Total nonoperating revenue, net	4,197
Change in Net Position	(325,824)
Net Position, Beginning of Year, as Previously Reported	10,407,060
Adjustments (Note 17)	(840,273)
Net Position, Beginning of Year, as Restated	9,566,787
Net Position, End of Year	$ 9,240,963

	2025
Operating Activities	
Receipts from and on behalf of patients	$ 30,063,910
Payments to and on behalf of employees	(20,518,415)
Payments to suppliers and contractors	(9,195,200)
Other receipts and payments, net	259,367
Net Cash from Operating Activities	609,662
Noncapital Financing Activities	
Noncapital grants and contributions	62,982
Other - bank overdraft	60,261
Net Cash from Noncapital Financing Activities	123,243
Capital and Capital Related Financing Activities	
Purchase of capital assets	(172,912)
Principal payments on long-term debt	(354,623)
Principal payments for lease liabilities	(255,664)
Principal payments for subscription IT liabilities	(53,381)
Interest paid	(109,719)
Net Cash used for Capital and Capital Related Financing Activities	(946,299)
Investing Activities	
Sales of short-term investments	825,000
Purchases of short-term investments	(823,292)
Sales of assets limited as to use or restricted	432,804
Purchases of assets limited as to use or restricted	(452,272)
Investment income	50,934
Net Cash from Investing Activities	33,174
Net Change in Cash and Cash Equivalents	(180,220)
Cash and Cash Equivalents, Beginning of Year	180,220
Cash and Cash Equivalents, End of Year	$ -

	2025
Reconciliation of Operating Loss to Net Cash from Operating Activities	
Operating loss	$ (330,021)
Adjustments to reconcile operating loss to net cash from operating activities	
Depreciation and amortization	1,527,082
Loss on disposal of capital assets	61,667
Provision for bad debts	882,937
Change in assets and liabilities	
Receivables	
Patient	(1,033,209)
Employee	51,806
Other	25,000
Inventories	87,472
Prepaid expenses	(62,075)
Accounts payable - trade	659,933
Accrued salaries, compensated absences and benefits payable	(11,156)
Estimated third-party payor settlements - Medicare and Medicaid	(1,249,774)
Net Cash from Operating Activities	$ 609,662
Supplemental Disclosure of Cash Flow Information	
Cash paid for interest	$ 109,719
Supplemental Disclosures of Noncash Capital and Capital Related Financing Activities	
Reassignment of equipment purchase agreement	$ 80,000
Subscription IT liabilities for acquisition of right to use subscription IT asset	$ 58,560